AFC–7704

Sub. Code
1MCO4E2

M.Com. DEGREE EXAMINATION, NOVEMBER 2015

Fourth Semester

Commerce - Elective

INDIRECT TAXES

(CBCS – 2011 onwards)

Time : 3 Hours Maximum : 75 Marks

Part A (10 × 2 = 20)

Answer **all** questions.

1. Define 'Appropriate State' under the CST act.

2. Write brief note on all industry Duty Drawback Rates.

3. Explain meaning 'Margin of Dumping'.

4. List any two services liable for service tax.

5. What do you mean "ad-valorem duty".

6. What is VAT? Who are liable for Registration.

7. State the services on which tax is levied.

8. What are excisable goods?

9. Define "Deemed Manufacture".

10. How does tax differ from fine?

Part B $(5 \times 5 = 25)$

Answer **all** questions, choosing either (a) or (b).

11. (a) VAT is termed as "consumption based' tax. Explain.

Or

(b) Explain provisions relating to abatement of customs duty on damaged goods.

12. (a) Write a note on 'Goods of special importance' (Declared Goods) under the Central Sales Tax Act, 1956.

Or

(b) Explain provisions of 'rectification of order' under service tax.

13. (a) What is assessable value? How it is computed?

Or

(b) List out the items prohibited for exports.

14. (a) What are differences between excise duty and sales tax?

Or

(b) Give the difference between Duty Draw Back and Refund of Duty.

15. (a) Name any five goods exempted under VAT Act.

Or

(b) What are the main characteristics of CST Act?

Part C (3 × 10 = 30)

Answer any **three** questions.

16. Briefly discuss about the treatment of packing charges in the context of assessable value for excise duty purposes.

17. What are the methods of valuation of customs duty?

18. Briefly explain the salient features of TNGST Act?

19. Differentiate between specific and Ad-Valorem duties.

20. Discuss the provisions relating to Registration of dealers under the CST Act.

AFC–7691

Sub. Code
1MCO2C3

M.Com. DEGREE EXAMINATION, NOVEMBER 2015

Second Semester

Commerce

MANAGEMENT ACCOUNTING

(CBCS – 2011 onwards)

Time : 3 Hours Maximum : 75 Marks

Part A (10 × 2 = 20)

Answer **all** questions.

1. What do you mean by cash flow statement?

2. Discuss the characteristics of management accounting.

3. Explain the difference between a forecast and a budget.

4. Current ratio 2.5 working capital Rs. 60,000. Calculate current assets and current liabilities.

5. From the following particulars, calculate BEP

Out Put	3000 units
Selling Price per unit	Rs. 30
Variable cost per unit	Rs. 20
Total Fixed Cost	Rs. 20,000.

6. Define financial statement analysis.

7. What is CVP Analysis?

8. What does a low inventory turnover ratio indicate?

9. What is Zero-base Budgeting?

10. State the concepts of coverage ratios.

Part B (5 × 5 = 25)

Answer **all** questions, choosing either (a) or (b).

11. (a) Calculate fund from operations from the following P and L a/c.

	Rs.		Rs.
To Exps. Paid	1,00,000	By Gross profit	2,00,000
To Depreciation	40,000	By Gain of sale of machinery	20,000
To Loss on sale of building	15,500		
To Discount	500		
To Goodwill	12,000		
To Net Profit	52,000		
	2,20,000		2,20,000

Or

(b) Opening stock Rs. 56,000, Closing stock Rs. 24,000, Sales Rs. 4,00,000, Gross profit ratio 30% on sales. Calculate stock turnover Ratio.

12. (a) From the following information relating to Palani Brothers Ltd. you are required to find out.

(i) P/V Ratio

(ii) Break even point

(iii) Profit

(iv) Margin of safety

(v) Volume of sales to earn profit of Rs. 6,000.

Total Fixed Costs Rs. 4,500, Total Variable Costs Rs. 7,500. Total Sales Rs. 15,000.

Or

(b) A firm has opening and closing inventory of Rs. 56,000 and Rs. 44,000 respectively. The firm has sold goods for Rs. 5,00,000 at a gross profit margin of 20%. Calculate inventory turnover ratio.

13. (a) If P/V Ratio is 50% and Margin of Safety 40%. Work out the net profit and breakeven point if sales volume is Rs. 5,00,000.

Or

(b) Explain the meaning and objectives of financial statement analysis.

14. (a) Calculate Schedule of changes in Working Capital :

Liabilities	2010 (Rs.)	2011 (Rs.)	Assets	2010 (Rs.)	2011 (Rs.)
Share Capital	9,00,000	9,90,000	Fixed Assets	8,20,000	9,50,000
P & L A/c	2,10,000	3,20,000	Stock	1,90,000	2,70,000
Sundry Creditors	60,000	90,000	Debtors	70,000	50,000
			Cash	90,000	1,30,000
Total	11,70,000	14,00,000	Total	11,70,000	14,00,000

Or

(b) Explain the steps in the installation of a system of budgetary control.

15. (a) The Golden Company plans to sell 1,08,000 units of a certain product line in the first fiscal quarter, 1,20,000 units in the second quarter, 1,32,000 units in the third quarter, 1,56,000 units in the fourth quarter, and 1,38,000 units in the first quarter of the following year. At the beginning of the first quarter of the current year, there are 18,000 units of the product in stock. At the end of each quarter, the company plans to have an inventory equal to one-sixth of the sales for the next fiscal quarter.

How many units must be manufactured in each quarter of the current year?

Or

(b) How does management accounting differ from cost accounting?

Part C (3 × 10 = 30)

Answer any **three** questions.

16. The expenses for Budget production of 10,000 units in a factory are as follows :

Particulars	Per unit Rs.
Material	70
Labour	25
Variable overhead	20
Fixed overhead (Rs. 1,00,000)	10
Variable expenses	5
Selling exps. (10% fixed)	13
Distribution exp. (20% fixed)	7
Admn. exps. (Rs. 50,000)	5
Total cost per unit	155

Prepare a flexiable budget for

(a) 8000 units and

(b) 6000 units.

17. From the following particulars prepare a statement showing the proprietor's find as on 31.12.2010

(a) Current Ratio : 2.5 : 1

(b) Acid Test Ratio: 1.5 : 1

(c) Fixed Assets to proprietary fund 0.75 : 1

(d) Working capital Rs. 60,000

(e) Reserve and surplus Rs. 40,000

(f) Bank overdraft Rs. 10,000.

18. A company is expecting to have Rs. 25,000 cash in hand on 1.4.2009. Prepare a cash budget for April to June 2011.

Month	Sales (Rs.)	Purchases (Rs.)	Wages (Rs.)	Expenses (Rs.)
February	70,000	40,000	8,000	6,000
March	80,000	50,000	8,000	7,000
April	92,000	52,000	9,000	7,000
May	1,00,000	60,000	10,000	8,000
June	1,20,000	55,000	12,000	9,000

Other information :

(a) Period of credit allowed by suppliers – 2 months.

(b) 25% of sales is for cash and credit period allowed to customers – 1 month

(c) Lag in payment of wages and expenses – 1 month

(d) Income tax Rs. 25,000 is to be paid in June 2011.

19. The comparative balance sheets of a company are given below :

	2003 (Rs.)	2004 (Rs.)		2003 (Rs.)	2004 (Rs.)
Share capital	35,000	37,000	Cash	4,500	3,900
Debentures	6,000	3,000	Book debts	7,450	8,850
Creditors	5,180	5,920	Stock	24,600	21,350
Provision for doubtful debts	350	400	Land	10,000	15,000
			Goodwill	5,000	2,500
Profit and Loss	5,020	5,280			
	51,550	51,600		51,550	51,600

Additional information available are :

(a) Dividend paid amounted to Rs. 1,750.

(b) Land was purchased for Rs. 5,000 and amount provided for the amortization of goodwill amounted to Rs. 2,500.

(c) Debentures were repaid to the extent of Rs. 3,000.

You are required to prepare cash flow statement.

20. Raj Corp. Ltd. has prepared the following budget estimates for the year :

Sales units – 15,000

Fixed expenses – Rs. 34,000

Sales value – Rs. 1,50,000

Variable cost – Rs. 6 per unit.

You are required to :

(a) Find the P/V ratio, breakeven point and margin of safety.

(b) Calculate the revised P/V ratio, breakeven point and margin of safety in each of the following cases :

(i) Decrease of 10% in selling price.

(ii) Increase of 10% variable cost.

(iii) Increase of sales volume by 2000 units.

(iv) Increase of Rs. 6,000 in fixed cost.

AFC–7694

Sub. Code
1MCO3C1

M.Com. DEGREE EXAMINATION, NOVEMBER 2015

Third Semester

Commerce

DIRECT TAXES

(CBCS – 2011 onwards)

Time : 3 Hours Maximum : 75 Marks

Part A (10 × 2 = 20)

Answer **all** questions.

1. What is Belated return?
2. A trader paid Rs. 22,250 for advertisement expenses in cash. Compute the inadmissible expenses.
3. What do you know about perquisites?
4. Write short note on Gross total income?
5. Mr. Moorthy is an Indian citizen who lives in India Since 1979. During the previous year 2014–15 he went to Arabia for 325 days. Identify his residential status.
6. What is the maximum amount allowed as deduction U/S 80C?
7. What is book profit?
8. What is PAN?
9. Who is liable to deduct TDS?
10. What do you mean by cost of improvement?

Part B (5 × 5 = 25)

Answer **all** questions, choosing either (a) or (b).

11. (a) Explain exempted house property incomes.

Or

(b) Calculate deduction U/S 80C from the following for Mr. Suresh,

Contribution of PPF Rs. 15,000

Contribution towards NSC VIII issue Rs. 11,000

Insurance premium on own life (sum assured Rs. 1,50,000) Rs. 25,000

Contribution towards Equity linked savings scheme Rs. 2,500.

12. (a) Give the features of salary.

Or

(b) Compute net annual value from the following.

Actual rent received – Rs. 72,000 p.a.

Municipal rental value – Rs. 60,000

Fair rental value – Rs. 16,000

Municipal tax paid 10% of municipal rental value.

13. (a) Explain who should file return of income.

Or

(b) Mr. Ravi an employee at X, Ltd received Rs. 68,000 as gratuity. He is covered by the payment at gratuity, act 1972. He retired on 15th July 2014, rendering service of 36 years and 9 months. At the time of retirement his monthly basic salary was Rs. 3,200 and DA (forming part) was Rs. 1,000 respectively. Calculate the exempted gratuity.

14. (a) Define the term "previous year" and "Assessment year".

Or

(b) Calculate income from other sources from the following particulars.

(i) Family pension received from the government Rs. 45,000

(ii) Rajalty from the authorship of a book Rs. 75,000

(iii) Expenses in connectron with royalty Rs. 5,000.

15. (a) State the roles in respect of 'Residence of company'.

Or

(b) A land purchased in the year 1986–87 for Rs. 80,000. During the year 2014–15, it was sold for Rs. 5,00,000. Calculate long term capital profit/loss.

CII 1986–87–140

CII 2014–15–1024.

Part C (3 × 10 = 30)

Answer any **three** questions.

16. Explain the various incomes exempted U/S 10.

17. What are the various types of filing of returns?

18. Mr. Sachin constructed a multistorey building at Bangalore consisting 40 flats. Each flats is let out @ Rs. 1,500 P.M. Municipal value is Rs. 75,000.

Following are other particulars.

(a) Lift maintenance Rs. 15,000

(b) Water pump expenses Rs. 2,000

(c) Gardner's salary Rs. 1,000

(d) Watchman's salary Rs. 2,000

Municipal tax paid at 10% of M.V. interest on loan for construction of house Rs. 25,000. Compute income from house property.

19. Calculate the income from other sources from the following.

    (a) Winning from lotteries (Net) Rs. 21,000

    (b) Income from letting of building and furniture Rs. 12,500, Expenses towards repairs of furniture Rs.500 and depreciation towards building Rs. 1,000. The assesse owns the building.

    (c) Dividend declared by Indian company Rs. 8,000 collection charges Rs. 100

    (d) Rs. 5,000 received as interest as government securities

    (e) Rs. 4,000 received as interest on debentures of local authority.

    (f) Interest on 7 year post office @ NSC 7% Rs. 10,000.

20. For the previous year 2014–15, Arun furnished the following details:

    (a) Income from salary Rs. 1,50,000

    (b) Income from House property Rs. 1,00,000

    (c) Capital Gains (long term) Rs. 30,000

    (d) Income from other sources Rs. 5,000

    He has paid Rs. 15,000 towards tuition fees for his children. He has paid LIP as 6,000. Compute the tax liability of Arun for the Assessment year 2015–16.

AFC–7695

Sub. Code
1MCO3C2

M.Com. DEGREE EXAMINATION, NOVEMBER 2015

Third Semester

Commerce

ADVANCED BUSINESS STATISTICS

(CBCS – 2011 onwards)

Time : 3 Hours Maximum : 75 Marks

Part A (10 × 2 = 20)

Answer **all** questions.

1. Define probability.

2. Define a continuous random variable.

3. What is correlation?

4. Mention any two properties of multiple correlations.

5. List out the applications of t-distribution in hypothesis tests.

6. Explain the simple hypothesis with an example.

7. Define standard error. Also give an example.

8. State any two properties of a normal distribution.

9. Define slack variable.

10. Define transportation problem.

Part B (5 × 5 = 25)

Answer **all** questions choosing either (a) or (b).

11. (a) Find the co-efficient of correlation between X and Y from the following data

X	5	10	5	11	12	4	3	2	7	1
Y	1	6	2	8	5	1	4	6	5	2

Or

(b) If $r_{12} = 0.8$, $r_{13} = -0.4$ and $r_{23} = -0.56$ find partial correlation coefficients.

12. (a) State and prove addition theorem of probability.

Or

(b) Write the properties of Poisson distribution.

13. (a) Explain about stratified random sampling.

Or

(b) A sample survey indicates that out of 3232 births, 1705 were boys and 1527 girls. Do these figures conform to the hypothesis that the sex ratio is 50:50?

14. (a) Explain about 't' test for single mean.

Or

(b) Minimize $Z = 60x_1 + 80x_2$

Subject to $x_2 \geq 200$

$x_2 \leq 400$

$x_1 + x_2 = 500$

$x_1, x_2 \geq 0$.

15. (a) Two random samples were drawn from two normal populations and their values are

A	66	67	75	76	82	84	88	90	92	–	–
B	64	66	74	78	82	85	87	92	93	95	97

Test whether the two population have the same variance at the 5% level of significance $[F = 3.36]$ at 5% level for $V_1 = 10$ and $V_2 = 8$)

Or

(b) A problem is statistics is given to five students A, B, C, D and E. Their chances of solving it are $\frac{1}{2}, \frac{1}{3}, \frac{1}{4}, \frac{1}{5}$ and $\frac{1}{6}$. What is the probability that the problem will be solved?

Part C (3 × 10 = 30)

Answer any **three** questions.

16. Solve the following LPP by simplex method

Max $Z = 6x_1 + 8x_2$

$5x_1 + 10x_2 \leq 60$

$4x_1 + 4x_2 \leq 40$

$x_1, x_2 \geq 0$.

17. Calculate correlation co-efficient

X	48	54	62	35	43	49	54	66	32	47
Y	42	47	59	24	37	59	50	51	20	36

18. Carry out ANOVA for the following [$F_{0.05} = 3.88$]

I	II	III
8	7	12
10	5	9
7	10	13
14	9	12
11	9	14

19. The weight of 10 people are found to be 70,67,62,68,61,68,70,64,64,66 kilograms. Is it possible to believe that the average weight of the people is greater than 64 kgs? Test at 5% level of significance

20. State the various methods of collecting primary data and comment on their relative merits.

AFC–7697

Sub. Code
1MCO3C4

M.Com. DEGREE EXAMINATION, NOVEMBER 2015.

Third Semester

Commerce

HUMAN RESOURCE MANAGEMENT

(CBCS – 2011 onwards)

Time : 3 Hours Maximum : 75 Marks

Part A (10 × 2 = 20)

Answer **all** questions.

1. What do you mean by HRM?

2. What is Job specification?

3. What is Induction?

4. What is Group discussion?

5. What do you mean by Bonus?

6. What is Labour Turnover?

7. What is Transfer?

8. What is Role play?

9. What is Career management?

10. What is Off the job training?

Part B (5 × 5 = 25)

Answer **all** questions choosing either (a) or (b).

11. (a) Explain the objectives of HRM is today's environment.

Or

(b) Explain the function of HRM with flow chart.

12. (a) Explain the importance of Human Resource Planning.

Or

(b) Explain the difference between simplification and job enlargement.

13. (a) Explain the problems faced by a company while going for new recruitment.

Or

(b) Explain the difference between Demotions and separation.

14. (a) Explain the needs of training.

Or

(b) Explain the merits and demerits of case study methods.

15. (a) Explain the significance of performance appraisal.

Or

(b) Explain the objective of performance appraisal.

Part C (3 × 10 = 30)

Answer any **three** questions.

16. Explain in detail the structure and functions of HRM department.

17. Explain in detail the modern techniques of performance appraisal.

18. What are the general processes of selection followed in India with diagram?

19. Explain the Human Resource Planning process in detail.

20. Appreciate the need for and the importance of good compensation plan.

AFC–7698

Sub. Code
1MCO3E1

M.Com. DEGREE EXAMINATION, NOVEMBER 2015

Third Semester

Commerce

PORTFOLIO MANAGEMENT

(CBCS – 2011 onwards)

Time : 3 Hours Maximum : 75 Marks

Part A (10 × 2 = 20)

Answer **all** questions.

1. What is money market fund?

2. Explain mutual funds are investments.

3. What is risk proportions?

4. Explain marginal utility curves

5. What is co-efficient of correlation?

6. Explain Trend Walk theory.

7. List out any three factors influencing valuation.

8. What are the types of Risk?

9. Explain Mutual Funds

10. Discuss the Beta and its significance.

Part B $(5 \times 5 = 25)$

Answer **all** questions, choosing either (a) or (b).

11. (a) Explain the portfolio life cycle approach.

Or

(b) Define Merkowitz diversification.

12. (a) What is Traditional versus modern portfolio analysis?

Or

(b) What are the sources of risk? Explain.

13. (a) What are the capital market theory?

Or

(b) How is a fundamental analysis useful to a prospective investor?

14. (a) Explain the capital market line.

Or

(b) What are the steps in traditional approach for a portfolio construction?

15. (a) Discuss the single index model as described by sharpe to get the optimum portfolio.

Or

(b) Distinguish between revision and efficient portfolio.

Part C (3 × 10 = 30)

Answer any **three** questions.

16. Explain the different types of mutual funds in detail as sources of investment.

17. Illustrate Markowitz diversification of portfolio with your own assumed values.

18. What is superfluous diversification? What problems frequently exist when a portfolio is diversified superfluously?

19. With the given details, evaluate the performances of the different fund using Sherpe, Treynor and Jenson performance evaluation techniques.

Funds	Return	Standard Deviation	Beta
A	2	20	0.98
B	12	18	0.97
C	8	22	1.17
D	9	24	1.22

Risk free rate of return is 4% ..

20. Explain the reasons for the Treynor and sharpe indices giving conflicting performance ranking.

AFC–7700

Sub. Code
1MCO4C1

M.Com. DEGREE EXAMINATION, NOVEMBER 2015

Fourth Semester

Commerce

SPECIAL ACCOUNTING

(CBCS – 2011 onwards)

Time : 3 Hours Maximum : 75 Marks

Part A (10 × 2 = 20)

Answer **all** questions.

1. What is "Rebate on Bills discounted"?

2. What is meant by "Non-Banking Assets"?

3. Why is "Provision for unexpired risk" created?

4. What is "Re-insurance"?

5. Write any two special features of Double account system.

6. Write any two difference between single account system and Double account system.

7. Explain the meaning of "Inflation Accounting".

8. What are "Conversion factors"?

9. What are development costs?

10. Define "Human Resource Accounting".

Part B (5 × 5 = 25)

Answer **all** questions, choosing either (a) or (b).

11. (a) The Trial balance of the Viswa Bank Ltd. as on 30th June 2007 shows the following balances

Interest and discount Rs. 45,40,600

Rebate on bills discounted (1.7.2006) Rs. 4,750

Bills discounted and purchased Rs. 3,37,400

The expired discount as on 30.6.07 is estimated to be Rs. 5,560. Draft necessary adjusting entries and calculate the amount of Interest and discount to be credited to profit and loss account.

Or

(b) Briefly explain the classification of Bank advances for the purpose of "Provisioning".

12. (a) The Life fund of a Life Insurance Company on 01.4.2010 showed a balance of Rs. 54,00,000 before taking into account the following items.

		Rs.
(i)	Interest and dividend accrued on Investment	20,000
(ii)	Income Tax deducted at source on the above	6,000
(iii)	Reinsurance claims recoverable	7,000
(iv)	Commission due on reinsurance premium paid	10,000
(v)	Bonus in reduction of premium	3,000

Calculate the new Life Fund.

Or

(b) Distinguish between Life Insurance and General Insurance.

13. (a) From the information furnished below, you are required to calculate Reasonable Return.

Capital Base Rs. 15,39,000

Reserve fund Investment (4%) Rs. 14,25,000

Loan from Electricity Board Rs. 11,40,000

12% Debentures Rs. 5.70,000

Development Reserve Rs. 2,85,000

Assume Bank Rate on 5%.

Or

(b) What is "Capital Base"? How is it calculated?

14. (a) Ascertain net monetary result from the following information.

	1.1.98	31.12.98
	Rs.	Rs.
Cash and Bank	60,000	88,000
Account receivable	80,000	1,00,000
Account payable	1,00,000	1,24,000
General retail price index number	100	125
Average index number for the year 120		

Or

(b) What are the merits and limitations of Accounting for price level changes.

15. (a) What are the main benefit derived from human resource accounting?

Or

(b) What do you understand by "Unpurchased Goodwill" method?

Part C (3 × 10 = 30)

Answer any **three** questions.

16. From the following information prepare the profit and loss account of Thiru Bank Ltd. for the year ended on 31st March 2003 in the new forms.

	Rs.		Rs.
Interest on loan	2,59,000	Interest on	
Interest on fixed deposit	2,75,000	current account	42,000
Rebate on bills discounted		Rent and Taxes	18,000
required	49,000	Interest on overdraft	1,54,000
Commission	8,200	Director fees	3,000
Establishment	54,000	Auditor's fees	1,200
Discount on bills discounted	1,95,000	Printing and	
Interest on cash credit	2,23,000	stationery	2,900
Interest on Savings bank		Sundry charges	1,700
deposits	68,000		
Postage and Telegrams	1,400		

Bad debt to be written off amounted to Rs. 40,000. Provision for taxation may be made 55%. Balance of profit from last year was Rs. 1,20,000. The directors have recommended a dividend of Rs. 20,000 for the shareholders.

17. Prepare the revenue account of the Sujatha Life Assurance Co Ltd., for the year ended 31.03.06 from the following items.

	(Rs. 000)		(Rs. 000)
Claims by death	76,140	Annuities paid	53,461
Claims by maturity	30,100	Bonus paid in cast	2,416
Premiums	7,05,690	Commission	9,574
Transfer fees	129	Bonus in reduction	
Consideration for		of premium	980
annuities granted	82,127	Dividend paid to	
Management		Shareholders	5,500
expenses	31,920	Life assurance	
Interest, dividend		(1.4.95) fund	15,21,000
and Rent	97,800		
Income Tax there on	35,710		
Surrender	13,140		

Paid up Share Capital Rs. 5,00,000 and net liability as per actuary's valuation is Rs. 11,05,000 as on 31.03.06. Prepare a Valuation Balance Sheet.

18. The following details are taken from the Balance Sheets of Ranga Ltd.

	As on 31.03.03 Rs.	As on 31.03.04 Rs.
Inventories	8,00,000	10,00,000
Book debts	2,00,000	3,30,000
Cash	80,000	90,000
Advance to Suppliers of materials	80,000	60,000
Creditors	1,20,000	1,40,000

During the year 2003-04, material price rose by 20% and those of finished goods by 10%.

Calculate the monetary working capital adjustment (MWCA) to the made under CCA system.

19. Chennai and Electivity Ltd. earned a profit of Rs. 8,45,000 during the year, ended 31.03.04 after debenture interest 7.5% on Rs. 2,50,000. With the help of the following items, show the disposal of profits.

Original cost of fixed assets Rs. 1,00,00,000

Formation and other expenses Rs. 5,00,000

Monthly average of current assets (net) Rs. 25,00,000

Reserve fund (represented by 4% Govt. securities) Rs. 10,00,000 contingencies Reserve fund investment Rs. 2,50,000

Loan from Electricity Board Rs. 15,00,000

Total depreciation written off to data Rs. 20,00,000

Tariff and Dividend control Reserve Rs. 50,000

Security deposits received from customers Rs. 2,00,000

Assume Bank Rate to be 6%.

20. Explain the various methods of valuation of Human resources.

AFC–7701

Sub. Code
1MCO4C2

M.Com. DEGREE EXAMINATION, NOVEMBER 2015

Fourth Semester

Commerce

INTERNATIONAL BUSINESS ENVIRONMENT

(CBCS – 2011 onwards)

Time : 3 Hours Maximum : 75 Marks

Part A (10 × 2 = 20)

Answer **all** questions.

1. What is Globalization?

2. What is regional trade blocks?

3. What is GDP?

4. What is technology transfer?

5. What is saving?

6. What is political risk?

7. What is WTO?

8. What is WB?

9. What is spot market?

10. What is foreign exchange environment?

Part B $(5 \times 5 = 25)$

Answer **all** questions, choosing either (a) or (b).

11. (a) Explain the need of FDI.

Or

(b) Explain the role of international business environment towards business.

12. (a) Explain the importance of investment in business.

Or

(b) Explain the latest issues in technology transfer.

13. (a) How will you handle the political risk?

Or

(b) Explain the corruption in governance and transparency of a nation.

14. (a) Explain the role played by WB for the growth of international business.

Or

(b) Write short note on :

(i) Bill of lading

(ii) Letter of credit.

15. (a) How forex rate are determined?

Or

(b) Differentiate spot market and forward market.

Part C (3 × 10 = 30)

Answer any **three** questions.

16. Explain the causes and issues of globalization of economics and business.

17. Explain the macro economic factor affects the international business.

18. Explain the role of politico-economic system in international business.

19. Explain the contribution of MNC for the development of India.

20. Explain the internal and external methods of hedging forex risk.

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AFC–7702

Sub. Code
1MCO4C3

M.Com. DEGREE EXAMINATION, NOVEMBER 2015

Fourth Semester

Commerce

FINANCIAL MANAGEMENT

(CBCS – 2011 onwards)

Time : 3 Hours Maximum : 75 Marks

Part A (10 × 2 = 20)

Answer **all** questions.

1. What is financial management?

2. What do you understand by present value of money?

3. What is cost of capital?

4. Write a short note on ARR.

5. What is financial leverage?

6. What is capital structure?

7. What do you mean by Stable Dividend?

8. What is cash management?

9. What is Inventory management?

10. What do you mean by Dividend retention ratio?

Part B (5 × 5 = 25)

Answer **all** questions, choosing either (a) or (b).

11. (a) Write a short note on

(i) Compounded techniques

(ii) Rule of 72.

Or

(b) Explain the various function of a finance manager.

12. (a) A firm earning is 1,00,000. The current market price is Rs. 100. Number of equity share Rs. 10,000. Calculate earnings per share and cost of equity.

Or

(b) A profit cost Rs. 5,00,000 and has a scrap value of Rs. 1,00,000. It stream of income depreciation and taxes during the first five years period is Rs. 1,00,000, Rs. 1,20,000, Rs. 1,40,000, Rs. 1,60,000 and Rs. 2,00,000. Asssume a 50% tax rate and depreciation on straight line basis. Calculate the ARR.

13. (a) Explain the capital structure and its role.

Or

(b) A firm sells its product for Rs. 100 per unit, has variable cost of Rs. 50 per unit and fixed operating cost of Rs. 50,000 per year. Show the various level of EBIT that would result from sale of (i) 1,000 units (ii) 2,000 units and (iii) 3,000 units.

14. (a) Explain the rules regarding declaration and payment of dividend.

Or

(b) Explain in detail the different forms of Dividend.

15. (a) Explain the factors determining the investment in inventory management.

Or

(b) Explain the scope of account receivable management.

Part C (3 × 10 = 30)

Answer any **three** questions.

16. 'Financial Management is the appendage of financial functions' – Comment.

17. A Company has 15% perpetual debt of Rs. 1,00,000. The tax rate is 50%. Determined the cost of capital before, tax and after tax. Assuming the debt is issued at :

(a) Par (b) 10% discount (c) 10% premium.

18. Explain the factor determining the working capital requirement.

19. Rank the following projects on the basis of

(a) Pay back period (b) ARR (c) NPV.

	Year	Project A	Project B	Project C
Investment	0	60,000	60,000	60,000
Annual savings	1	27,600	72,300	–
Annual savings	2	27,600	–	–
Annual savings	3	27,600	–	93,654

20. The following information is available in respect of a firm.

Capitialization rate (K_e) = 10%

Earning per share = Rs. 50

Assume rate of return (a) 12%, (b) 8% (c) 10%

Show the effect of dividend policy on market price of share applying walter formula when the payout ratio is

(i) 0% (ii) 20% (iii) 40% (iv) 40% (v) 100%

AFC–7690

Sub. Code
1MCO2C2

M.Com. DEGREE EXAMINATION, NOVEMBER 2015

Second Semester

Commerce

INVESTMENT MANAGEMENT

(CBCS – 2011 onwards)

Time : 3 Hours Maximum : 75 Marks

Part A (10 × 2 = 20)

Answer **all** questions.

1. Define the term investment.

2. What are the characteristics of gamblers?

3. What do you mean by risk-aversion?

4. What do you mean by risk premium?

5. Differentiate between YTM and YTC.

6. What do you mean by callable bonds?

7. What do you mean by NAV?

8. What are the assumptions of CAPM?

9. What is options contract?

10. What is mean by underlying asset?

Part B $(5 \times 5 = 25)$

Answer **all** questions either (a) or (b).

11. (a) What is money market? How is it different from capital market?

Or

(b) Differentiate between investment and speculation. Can investor be speculator also?

12. (a) How the return of an investment can be measured? What are the elements of risk?

Or

(b) What are the features of equity stock?

13. (a) What are the factors involved in bond valuation? Explain with example.

Or

(b) A mutual fund has announced a new scheme in which the initial expenses are 5.5% and annual recurring expenses are 1.5%. Investors in the market have a minimum required rate of return of 16%. How much should the mutual fund earn annually in order to satisfy the investors expectation?

14. (a) What are the types of mutual fund schemes prevalent in India? Give details.

Or

(b) How does futures market differs from forward market?

15. (a) What are the characteristics of derivative investment and derivative market?

Or

(b) Share of XYZ Ltd. are presently trading at Rs. 67 (F.V. Rs. 10 each). 3 months call option for a strike price of Rs. 65 is available at a premium of Rs. 5. Find out the net payoff position of a call option holder if the spot price on maturity is Rs. 60, Rs. 62, Rs. 65, Rs. 67, Rs. 70, Rs. 72.

Part C $(3 \times 10 = 30)$

Answer any **three** questions.

16. What are components of a financial system? What are the functions of a sound financial system?

17. Mr. Ram has purchased share at Rs. 100 each five years ago. The market price at the end of the year and dividend during the year are given below. Find average rate of return and the risk of security.

Year :	1	2	3	4	5
Dividend :	5	6	6	4	3
Market price (Rs.) :	105	120	124	130	140

18. Explain the various types of charts used by technical analysts to predict future behaviour of prices.

19. "Mutual fund is an indirect investment". Examine it in the high on features of mutual funds.

20. What are features of future contracts? What are the factors determining price of future contract?

AFC–7691

Sub. Code
1MCO2C3

M.Com. DEGREE EXAMINATION, NOVEMBER 2015

Second Semester

Commerce

MANAGEMENT ACCOUNTING

(CBCS – 2011 onwards)

Time : 3 Hours Maximum : 75 Marks

Part A (10 × 2 = 20)

Answer **all** questions.

1. What do you mean by cash flow statement?

2. Discuss the characteristics of management accounting.

3. Explain the difference between a forecast and a budget.

4. Current ratio 2.5 working capital Rs. 60,000. Calculate current assets and current liabilities.

5. From the following particulars, calculate BEP

Out Put	3000 units
Selling Price per unit	Rs. 30
Variable cost per unit	Rs. 20
Total Fixed Cost	Rs. 20,000.

6. Define financial statement analysis.

7. What is CVP Analysis?

8. What does a low inventory turnover ratio indicate?

9. What is Zero-base Budgeting?

10. State the concepts of coverage ratios.

Part B (5 × 5 = 25)

Answer **all** questions, choosing either (a) or (b).

11. (a) Calculate fund from operations from the following P and L a/c.

	Rs.		Rs.
To Exps. Paid	1,00,000	By Gross profit	2,00,000
To Depreciation	40,000	By Gain of sale of machinery	20,000
To Loss on sale of building	15,500		
To Discount	500		
To Goodwill	12,000		
To Net Profit	52,000		
	2,20,000		2,20,000

Or

(b) Opening stock Rs. 56,000, Closing stock Rs. 24,000, Sales Rs. 4,00,000, Gross profit ratio 30% on sales. Calculate stock turnover Ratio.

12. (a) From the following information relating to Palani Brothers Ltd. you are required to find out.

(i) P/V Ratio

(ii) Break even point

(iii) Profit

(iv) Margin of safety

(v) Volume of sales to earn profit of Rs. 6,000.

Total Fixed Costs Rs. 4,500, Total Variable Costs Rs. 7,500. Total Sales Rs. 15,000.

Or

(b) A firm has opening and closing inventory of Rs. 56,000 and Rs. 44,000 respectively. The firm has sold goods for Rs. 5,00,000 at a gross profit margin of 20%. Calculate inventory turnover ratio.

13. (a) If P/V Ratio is 50% and Margin of Safety 40%. Work out the net profit and breakeven point if sales volume is Rs. 5,00,000.

Or

(b) Explain the meaning and objectives of financial statement analysis.

14. (a) Calculate Schedule of changes in Working Capital :

Liabilities	2010 (Rs.)	2011 (Rs.)	Assets	2010 (Rs.)	2011 (Rs.)
Share Capital	9,00,000	9,90,000	Fixed Assets	8,20,000	9,50,000
P & L A/c	2,10,000	3,20,000	Stock	1,90,000	2,70,000
Sundry Creditors	60,000	90,000	Debtors	70,000	50,000
			Cash	90,000	1,30,000
Total	11,70,000	14,00,000	Total	11,70,000	14,00,000

Or

(b) Explain the steps in the installation of a system of budgetary control.

15. (a) The Golden Company plans to sell 1,08,000 units of a certain product line in the first fiscal quarter, 1,20,000 units in the second quarter, 1,32,000 units in the third quarter, 1,56,000 units in the fourth quarter, and 1,38,000 units in the first quarter of the following year. At the beginning of the first quarter of the current year, there are 18,000 units of the product in stock. At the end of each quarter, the company plans to have an inventory equal to one-sixth of the sales for the next fiscal quarter.

How many units must be manufactured in each quarter of the current year?

Or

(b) How does management accounting differ from cost accounting?

Part C (3 × 10 = 30)

Answer any **three** questions.

16. The expenses for Budget production of 10,000 units in a factory are as follows :

Particulars	Per unit Rs.
Material	70
Labour	25
Variable overhead	20
Fixed overhead (Rs. 1,00,000)	10
Variable expenses	5
Selling exps. (10% fixed)	13
Distribution exp. (20% fixed)	7
Admn. exps. (Rs. 50,000)	5
Total cost per unit	155

Prepare a flexiable budget for

(a) 8000 units and

(b) 6000 units.

17. From the following particulars prepare a statement showing the proprietor's find as on 31.12.2010

(a) Current Ratio : 2.5 : 1

(b) Acid Test Ratio: 1.5 : 1

(c) Fixed Assets to proprietary fund 0.75 : 1

(d) Working capital Rs. 60,000

(e) Reserve and surplus Rs. 40,000

(f) Bank overdraft Rs. 10,000.

18. A company is expecting to have Rs. 25,000 cash in hand on 1.4.2009. Prepare a cash budget for April to June 2011.

Month	Sales (Rs.)	Purchases (Rs.)	Wages (Rs.)	Expenses (Rs.)
February	70,000	40,000	8,000	6,000
March	80,000	50,000	8,000	7,000
April	92,000	52,000	9,000	7,000
May	1,00,000	60,000	10,000	8,000
June	1,20,000	55,000	12,000	9,000

Other information :

(a) Period of credit allowed by suppliers – 2 months.

(b) 25% of sales is for cash and credit period allowed to customers – 1 month

(c) Lag in payment of wages and expenses – 1 month

(d) Income tax Rs. 25,000 is to be paid in June 2011.

19. The comparative balance sheets of a company are given below :

	2003 (Rs.)	2004 (Rs.)		2003 (Rs.)	2004 (Rs.)
Share capital	35,000	37,000	Cash	4,500	3,900
Debentures	6,000	3,000	Book debts	7,450	8,850
Creditors	5,180	5,920	Stock	24,600	21,350
Provision for doubtful debts	350	400	Land	10,000	15,000
			Goodwill	5,000	2,500
Profit and Loss	5,020	5,280			
	51,550	51,600		51,550	51,600

Additional information available are :

(a) Dividend paid amounted to Rs. 1,750.

(b) Land was purchased for Rs. 5,000 and amount provided for the amortization of goodwill amounted to Rs. 2,500.

(c) Debentures were repaid to the extent of Rs. 3,000.

You are required to prepare cash flow statement.

20. Raj Corp. Ltd. has prepared the following budget estimates for the year :

Sales units – 15,000

Fixed expenses – Rs. 34,000

Sales value – Rs. 1,50,000

Variable cost – Rs. 6 per unit.

You are required to :

(a) Find the P/V ratio, breakeven point and margin of safety.

(b) Calculate the revised P/V ratio, breakeven point and margin of safety in each of the following cases :

(i) Decrease of 10% in selling price.

(ii) Increase of 10% variable cost.

(iii) Increase of sales volume by 2000 units.

(iv) Increase of Rs. 6,000 in fixed cost.

AFC–7694

Sub. Code
1MCO3C1

M.Com. DEGREE EXAMINATION, NOVEMBER 2015

Third Semester

Commerce

DIRECT TAXES

(CBCS – 2011 onwards)

Time : 3 Hours Maximum : 75 Marks

Part A (10 × 2 = 20)

Answer **all** questions.

1. What is Belated return?
2. A trader paid Rs. 22,250 for advertisement expenses in cash. Compute the inadmissible expenses.
3. What do you know about perquisites?
4. Write short note on Gross total income?
5. Mr. Moorthy is an Indian citizen who lives in India Since 1979. During the previous year 2014–15 he went to Arabia for 325 days. Identify his residential status.
6. What is the maximum amount allowed as deduction U/S 80C?
7. What is book profit?
8. What is PAN?
9. Who is liable to deduct TDS?
10. What do you mean by cost of improvement?

Part B (5 × 5 = 25)

Answer **all** questions, choosing either (a) or (b).

11. (a) Explain exempted house property incomes.

Or

(b) Calculate deduction U/S 80C from the following for Mr. Suresh,

Contribution of PPF Rs. 15,000

Contribution towards NSC VIII issue Rs. 11,000

Insurance premium on own life (sum assured Rs. 1,50,000) Rs. 25,000

Contribution towards Equity linked savings scheme Rs. 2,500.

12. (a) Give the features of salary.

Or

(b) Compute net annual value from the following.

Actual rent received – Rs. 72,000 p.a.

Municipal rental value – Rs. 60,000

Fair rental value – Rs. 16,000

Municipal tax paid 10% of municipal rental value.

13. (a) Explain who should file return of income.

Or

(b) Mr. Ravi an employee at X, Ltd received Rs. 68,000 as gratuity. He is covered by the payment at gratuity, act 1972. He retired on 15th July 2014, rendering service of 36 years and 9 months. At the time of retirement his monthly basic salary was Rs. 3,200 and DA (forming part) was Rs. 1,000 respectively. Calculate the exempted gratuity.

14. (a) Define the term "previous year" and "Assessment year".

Or

(b) Calculate income from other sources from the following particulars.

(i) Family pension received from the government Rs. 45,000

(ii) Rajalty from the authorship of a book Rs. 75,000

(iii) Expenses in connectron with royalty Rs. 5,000.

15. (a) State the roles in respect of 'Residence of company'.

Or

(b) A land purchased in the year 1986–87 for Rs. 80,000. During the year 2014–15, it was sold for Rs. 5,00,000. Calculate long term capital profit/loss.

CII 1986–87–140

CII 2014–15–1024.

Part C (3 × 10 = 30)

Answer any **three** questions.

16. Explain the various incomes exempted U/S 10.

17. What are the various types of filing of returns?

18. Mr. Sachin constructed a multistorey building at Bangalore consisting 40 flats. Each flats is let out @ Rs. 1,500 P.M. Municipal value is Rs. 75,000.

Following are other particulars.

(a) Lift maintenance Rs. 15,000

(b) Water pump expenses Rs. 2,000

(c) Gardner's salary Rs. 1,000

(d) Watchman's salary Rs. 2,000

Municipal tax paid at 10% of M.V. interest on loan for construction of house Rs. 25,000. Compute income from house property.

19. Calculate the income from other sources from the following.

    (a) Winning from lotteries (Net) Rs. 21,000

    (b) Income from letting of building and furniture Rs. 12,500, Expenses towards repairs of furniture Rs.500 and depreciation towards building Rs. 1,000. The assesse owns the building.

    (c) Dividend declared by Indian company Rs. 8,000 collection charges Rs. 100

    (d) Rs. 5,000 received as interest as government securities

    (e) Rs. 4,000 received as interest on debentures of local authority.

    (f) Interest on 7 year post office @ NSC 7% Rs. 10,000.

20. For the previous year 2014–15, Arun furnished the following details:

    (a) Income from salary Rs. 1,50,000

    (b) Income from House property Rs. 1,00,000

    (c) Capital Gains (long term) Rs. 30,000

    (d) Income from other sources Rs. 5,000

    He has paid Rs. 15,000 towards tuition fees for his children. He has paid LIP as 6,000. Compute the tax liability of Arun for the Assessment year 2015–16.

AFC–7695

Sub. Code
1MCO3C2

M.Com. DEGREE EXAMINATION, NOVEMBER 2015

Third Semester

Commerce

ADVANCED BUSINESS STATISTICS

(CBCS – 2011 onwards)

Time : 3 Hours Maximum : 75 Marks

Part A (10 × 2 = 20)

Answer **all** questions.

1. Define probability.

2. Define a continuous random variable.

3. What is correlation?

4. Mention any two properties of multiple correlations.

5. List out the applications of t-distribution in hypothesis tests.

6. Explain the simple hypothesis with an example.

7. Define standard error. Also give an example.

8. State any two properties of a normal distribution.

9. Define slack variable.

10. Define transportation problem.

Part B (5 × 5 = 25)

Answer **all** questions choosing either (a) or (b).

11. (a) Find the co-efficient of correlation between X and Y from the following data

X	5	10	5	11	12	4	3	2	7	1
Y	1	6	2	8	5	1	4	6	5	2

Or

(b) If $r_{12} = 0.8$, $r_{13} = -0.4$ and $r_{23} = -0.56$ find partial correlation coefficients.

12. (a) State and prove addition theorem of probability.

Or

(b) Write the properties of Poisson distribution.

13. (a) Explain about stratified random sampling.

Or

(b) A sample survey indicates that out of 3232 births, 1705 were boys and 1527 girls. Do these figures conform to the hypothesis that the sex ratio is 50:50?

14. (a) Explain about 't' test for single mean.

Or

(b) Minimize $Z = 60x_1 + 80x_2$

Subject to $x_2 \geq 200$

$x_2 \leq 400$

$x_1 + x_2 = 500$

$x_1, x_2 \geq 0$.

15. (a) Two random samples were drawn from two normal populations and their values are

A	66	67	75	76	82	84	88	90	92	–	–
B	64	66	74	78	82	85	87	92	93	95	97

Test whether the two population have the same variance at the 5% level of significance $[F = 3.36]$ at 5% level for $V_1 = 10$ and $V_2 = 8$)

Or

(b) A problem is statistics is given to five students A, B, C, D and E. Their chances of solving it are $\frac{1}{2}, \frac{1}{3}, \frac{1}{4}, \frac{1}{5}$ and $\frac{1}{6}$. What is the probability that the problem will be solved?

Part C (3 × 10 = 30)

Answer any **three** questions.

16. Solve the following LPP by simplex method

Max $Z = 6x_1 + 8x_2$

$5x_1 + 10x_2 \leq 60$

$4x_1 + 4x_2 \leq 40$

$x_1, x_2 \geq 0$.

17. Calculate correlation co-efficient

X	48	54	62	35	43	49	54	66	32	47
Y	42	47	59	24	37	59	50	51	20	36

18. Carry out ANOVA for the following [$F_{0.05} = 3.88$]

I	II	III
8	7	12
10	5	9
7	10	13
14	9	12
11	9	14

19. The weight of 10 people are found to be 70,67,62,68,61,68,70,64,64,66 kilograms. Is it possible to believe that the average weight of the people is greater than 64 kgs? Test at 5% level of significance

20. State the various methods of collecting primary data and comment on their relative merits.

AFC–7697

Sub. Code
1MCO3C4

M.Com. DEGREE EXAMINATION, NOVEMBER 2015.

Third Semester

Commerce

HUMAN RESOURCE MANAGEMENT

(CBCS – 2011 onwards)

Time : 3 Hours Maximum : 75 Marks

Part A (10 × 2 = 20)

Answer **all** questions.

1. What do you mean by HRM?

2. What is Job specification?

3. What is Induction?

4. What is Group discussion?

5. What do you mean by Bonus?

6. What is Labour Turnover?

7. What is Transfer?

8. What is Role play?

9. What is Career management?

10. What is Off the job training?

Part B (5 × 5 = 25)

Answer **all** questions choosing either (a) or (b).

11. (a) Explain the objectives of HRM is today's environment.

Or

(b) Explain the function of HRM with flow chart.

12. (a) Explain the importance of Human Resource Planning.

Or

(b) Explain the difference between simplification and job enlargement.

13. (a) Explain the problems faced by a company while going for new recruitment.

Or

(b) Explain the difference between Demotions and separation.

14. (a) Explain the needs of training.

Or

(b) Explain the merits and demerits of case study methods.

15. (a) Explain the significance of performance appraisal.

Or

(b) Explain the objective of performance appraisal.

Part C (3 × 10 = 30)

Answer any **three** questions.

16. Explain in detail the structure and functions of HRM department.

17. Explain in detail the modern techniques of performance appraisal.

18. What are the general processes of selection followed in India with diagram?

19. Explain the Human Resource Planning process in detail.

20. Appreciate the need for and the importance of good compensation plan.

AFC–7698

Sub. Code
1MCO3E1

M.Com. DEGREE EXAMINATION, NOVEMBER 2015

Third Semester

Commerce

PORTFOLIO MANAGEMENT

(CBCS – 2011 onwards)

Time : 3 Hours Maximum : 75 Marks

Part A (10 × 2 = 20)

Answer **all** questions.

1. What is money market fund?

2. Explain mutual funds are investments.

3. What is risk proportions?

4. Explain marginal utility curves

5. What is co-efficient of correlation?

6. Explain Trend Walk theory.

7. List out any three factors influencing valuation.

8. What are the types of Risk?

9. Explain Mutual Funds

10. Discuss the Beta and its significance.

Part B $(5 \times 5 = 25)$

Answer **all** questions, choosing either (a) or (b).

11. (a) Explain the portfolio life cycle approach.

Or

(b) Define Merkowitz diversification.

12. (a) What is Traditional versus modern portfolio analysis?

Or

(b) What are the sources of risk? Explain.

13. (a) What are the capital market theory?

Or

(b) How is a fundamental analysis useful to a prospective investor?

14. (a) Explain the capital market line.

Or

(b) What are the steps in traditional approach for a portfolio construction?

15. (a) Discuss the single index model as described by sharpe to get the optimum portfolio.

Or

(b) Distinguish between revision and efficient portfolio.

Part C (3 × 10 = 30)

Answer any **three** questions.

16. Explain the different types of mutual funds in detail as sources of investment.

17. Illustrate Markowitz diversification of portfolio with your own assumed values.

18. What is superfluous diversification? What problems frequently exist when a portfolio is diversified superfluously?

19. With the given details, evaluate the performances of the different fund using Sherpe, Treynor and Jenson performance evaluation techniques.

Funds	Return	Standard Deviation	Beta
A	2	20	0.98
B	12	18	0.97
C	8	22	1.17
D	9	24	1.22

Risk free rate of return is 4% ..

20. Explain the reasons for the Treynor and sharpe indices giving conflicting performance ranking.

AFC–7700

Sub. Code
1MCO4C1

M.Com. DEGREE EXAMINATION, NOVEMBER 2015

Fourth Semester

Commerce

SPECIAL ACCOUNTING

(CBCS – 2011 onwards)

Time : 3 Hours Maximum : 75 Marks

Part A (10 × 2 = 20)

Answer **all** questions.

1. What is "Rebate on Bills discounted"?

2. What is meant by "Non-Banking Assets"?

3. Why is "Provision for unexpired risk" created?

4. What is "Re-insurance"?

5. Write any two special features of Double account system.

6. Write any two difference between single account system and Double account system.

7. Explain the meaning of "Inflation Accounting".

8. What are "Conversion factors"?

9. What are development costs?

10. Define "Human Resource Accounting".

Part B (5 × 5 = 25)

Answer **all** questions, choosing either (a) or (b).

11. (a) The Trial balance of the Viswa Bank Ltd. as on 30th June 2007 shows the following balances

Interest and discount Rs. 45,40,600

Rebate on bills discounted (1.7.2006) Rs. 4,750

Bills discounted and purchased Rs. 3,37,400

The expired discount as on 30.6.07 is estimated to be Rs. 5,560. Draft necessary adjusting entries and calculate the amount of Interest and discount to be credited to profit and loss account.

Or

(b) Briefly explain the classification of Bank advances for the purpose of "Provisioning".

12. (a) The Life fund of a Life Insurance Company on 01.4.2010 showed a balance of Rs. 54,00,000 before taking into account the following items.

		Rs.
(i)	Interest and dividend accrued on Investment	20,000
(ii)	Income Tax deducted at source on the above	6,000
(iii)	Reinsurance claims recoverable	7,000
(iv)	Commission due on reinsurance premium paid	10,000
(v)	Bonus in reduction of premium	3,000

Calculate the new Life Fund.

Or

(b) Distinguish between Life Insurance and General Insurance.

13. (a) From the information furnished below, you are required to calculate Reasonable Return.

Capital Base Rs. 15,39,000

Reserve fund Investment (4%) Rs. 14,25,000

Loan from Electricity Board Rs. 11,40,000

12% Debentures Rs. 5.70,000

Development Reserve Rs. 2,85,000

Assume Bank Rate on 5%.

Or

(b) What is "Capital Base"? How is it calculated?

14. (a) Ascertain net monetary result from the following information.

	1.1.98	31.12.98
	Rs.	Rs.
Cash and Bank	60,000	88,000
Account receivable	80,000	1,00,000
Account payable	1,00,000	1,24,000
General retail price index number	100	125
Average index number for the year 120		

Or

(b) What are the merits and limitations of Accounting for price level changes.

15. (a) What are the main benefit derived from human resource accounting?

Or

(b) What do you understand by "Unpurchased Goodwill" method?

Part C (3 × 10 = 30)

Answer any **three** questions.

16. From the following information prepare the profit and loss account of Thiru Bank Ltd. for the year ended on 31st March 2003 in the new forms.

	Rs.		Rs.
Interest on loan	2,59,000	Interest on	
Interest on fixed deposit	2,75,000	current account	42,000
Rebate on bills discounted		Rent and Taxes	18,000
required	49,000	Interest on overdraft	1,54,000
Commission	8,200	Director fees	3,000
Establishment	54,000	Auditor's fees	1,200
Discount on bills discounted	1,95,000	Printing and	
Interest on cash credit	2,23,000	stationery	2,900
Interest on Savings bank		Sundry charges	1,700
deposits	68,000		
Postage and Telegrams	1,400		

Bad debt to be written off amounted to Rs. 40,000. Provision for taxation may be made 55%. Balance of profit from last year was Rs. 1,20,000. The directors have recommended a dividend of Rs. 20,000 for the shareholders.

17. Prepare the revenue account of the Sujatha Life Assurance Co Ltd., for the year ended 31.03.06 from the following items.

	(Rs. 000)		(Rs. 000)
Claims by death	76,140	Annuities paid	53,461
Claims by maturity	30,100	Bonus paid in cast	2,416
Premiums	7,05,690	Commission	9,574
Transfer fees	129	Bonus in reduction	
Consideration for		of premium	980
annuities granted	82,127	Dividend paid to	
Management		Shareholders	5,500
expenses	31,920	Life assurance	
Interest, dividend		(1.4.95) fund	15,21,000
and Rent	97,800		
Income Tax there on	35,710		
Surrender	13,140		

Paid up Share Capital Rs. 5,00,000 and net liability as per actuary's valuation is Rs. 11,05,000 as on 31.03.06. Prepare a Valuation Balance Sheet.

18. The following details are taken from the Balance Sheets of Ranga Ltd.

	As on 31.03.03 Rs.	As on 31.03.04 Rs.
Inventories	8,00,000	10,00,000
Book debts	2,00,000	3,30,000
Cash	80,000	90,000
Advance to Suppliers of materials	80,000	60,000
Creditors	1,20,000	1,40,000

During the year 2003-04, material price rose by 20% and those of finished goods by 10%.

Calculate the monetary working capital adjustment (MWCA) to the made under CCA system.

19. Chennai and Electivity Ltd. earned a profit of Rs. 8,45,000 during the year, ended 31.03.04 after debenture interest 7.5% on Rs. 2,50,000. With the help of the following items, show the disposal of profits.

Original cost of fixed assets Rs. 1,00,00,000

Formation and other expenses Rs. 5,00,000

Monthly average of current assets (net) Rs. 25,00,000

Reserve fund (represented by 4% Govt. securities) Rs. 10,00,000 contingencies Reserve fund investment Rs. 2,50,000

Loan from Electricity Board Rs. 15,00,000

Total depreciation written off to data Rs. 20,00,000

Tariff and Dividend control Reserve Rs. 50,000

Security deposits received from customers Rs. 2,00,000

Assume Bank Rate to be 6%.

20. Explain the various methods of valuation of Human resources.

AFC–7701

Sub. Code
1MCO4C2

M.Com. DEGREE EXAMINATION, NOVEMBER 2015

Fourth Semester

Commerce

INTERNATIONAL BUSINESS ENVIRONMENT

(CBCS – 2011 onwards)

Time : 3 Hours Maximum : 75 Marks

Part A (10 × 2 = 20)

Answer **all** questions.

1. What is Globalization?

2. What is regional trade blocks?

3. What is GDP?

4. What is technology transfer?

5. What is saving?

6. What is political risk?

7. What is WTO?

8. What is WB?

9. What is spot market?

10. What is foreign exchange environment?

Part B $(5 \times 5 = 25)$

Answer **all** questions, choosing either (a) or (b).

11. (a) Explain the need of FDI.

Or

(b) Explain the role of international business environment towards business.

12. (a) Explain the importance of investment in business.

Or

(b) Explain the latest issues in technology transfer.

13. (a) How will you handle the political risk?

Or

(b) Explain the corruption in governance and transparency of a nation.

14. (a) Explain the role played by WB for the growth of international business.

Or

(b) Write short note on :

(i) Bill of lading

(ii) Letter of credit.

15. (a) How forex rate are determined?

Or

(b) Differentiate spot market and forward market.

Part C (3 × 10 = 30)

Answer any **three** questions.

16. Explain the causes and issues of globalization of economics and business.

17. Explain the macro economic factor affects the international business.

18. Explain the role of politico-economic system in international business.

19. Explain the contribution of MNC for the development of India.

20. Explain the internal and external methods of hedging forex risk.

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AFC–7702

Sub. Code
1MCO4C3

M.Com. DEGREE EXAMINATION, NOVEMBER 2015

Fourth Semester

Commerce

FINANCIAL MANAGEMENT

(CBCS – 2011 onwards)

Time : 3 Hours Maximum : 75 Marks

Part A (10 × 2 = 20)

Answer **all** questions.

1. What is financial management?

2. What do you understand by present value of money?

3. What is cost of capital?

4. Write a short note on ARR.

5. What is financial leverage?

6. What is capital structure?

7. What do you mean by Stable Dividend?

8. What is cash management?

9. What is Inventory management?

10. What do you mean by Dividend retention ratio?

Part B (5 × 5 = 25)

Answer **all** questions, choosing either (a) or (b).

11. (a) Write a short note on

(i) Compounded techniques

(ii) Rule of 72.

Or

(b) Explain the various function of a finance manager.

12. (a) A firm earning is 1,00,000. The current market price is Rs. 100. Number of equity share Rs. 10,000. Calculate earnings per share and cost of equity.

Or

(b) A profit cost Rs. 5,00,000 and has a scrap value of Rs. 1,00,000. It stream of income depreciation and taxes during the first five years period is Rs. 1,00,000, Rs. 1,20,000, Rs. 1,40,000, Rs. 1,60,000 and Rs. 2,00,000. Asssume a 50% tax rate and depreciation on straight line basis. Calculate the ARR.

13. (a) Explain the capital structure and its role.

Or

(b) A firm sells its product for Rs. 100 per unit, has variable cost of Rs. 50 per unit and fixed operating cost of Rs. 50,000 per year. Show the various level of EBIT that would result from sale of (i) 1,000 units (ii) 2,000 units and (iii) 3,000 units.

14. (a) Explain the rules regarding declaration and payment of dividend.

Or

(b) Explain in detail the different forms of Dividend.

15. (a) Explain the factors determining the investment in inventory management.

Or

(b) Explain the scope of account receivable management.

Part C (3 × 10 = 30)

Answer any **three** questions.

16. 'Financial Management is the appendage of financial functions' – Comment.

17. A Company has 15% perpetual debt of Rs. 1,00,000. The tax rate is 50%. Determined the cost of capital before, tax and after tax. Assuming the debt is issued at :

(a) Par (b) 10% discount (c) 10% premium.

18. Explain the factor determining the working capital requirement.

19. Rank the following projects on the basis of

(a) Pay back period (b) ARR (c) NPV.

	Year	Project A	Project B	Project C
Investment	0	60,000	60,000	60,000
Annual savings	1	27,600	72,300	–
Annual savings	2	27,600	–	–
Annual savings	3	27,600	–	93,654

20. The following information is available in respect of a firm.

Capitialization rate (K_e) = 10%

Earning per share = Rs. 50

Assume rate of return (a) 12%, (b) 8% (c) 10%

Show the effect of dividend policy on market price of share applying walter formula when the payout ratio is

(i) 0% (ii) 20% (iii) 40% (iv) 40% (v) 100%

AFC–7704

Sub. Code
1MCO4E2

M.Com. DEGREE EXAMINATION, NOVEMBER 2015

Fourth Semester

Commerce - Elective

INDIRECT TAXES

(CBCS – 2011 onwards)

Time : 3 Hours Maximum : 75 Marks

Part A (10 × 2 = 20)

Answer **all** questions.

1. Define 'Appropriate State' under the CST act.

2. Write brief note on all industry Duty Drawback Rates.

3. Explain meaning 'Margin of Dumping'.

4. List any two services liable for service tax.

5. What do you mean "ad-valorem duty".

6. What is VAT? Who are liable for Registration.

7. State the services on which tax is levied.

8. What are excisable goods?

9. Define "Deemed Manufacture".

10. How does tax differ from fine?

Part B $(5 \times 5 = 25)$

Answer **all** questions, choosing either (a) or (b).

11. (a) VAT is termed as "consumption based' tax. Explain.

Or

(b) Explain provisions relating to abatement of customs duty on damaged goods.

12. (a) Write a note on 'Goods of special importance' (Declared Goods) under the Central Sales Tax Act, 1956.

Or

(b) Explain provisions of 'rectification of order' under service tax.

13. (a) What is assessable value? How it is computed?

Or

(b) List out the items prohibited for exports.

14. (a) What are differences between excise duty and sales tax?

Or

(b) Give the difference between Duty Draw Back and Refund of Duty.

15. (a) Name any five goods exempted under VAT Act.

Or

(b) What are the main characteristics of CST Act?

Part C (3 × 10 = 30)

Answer any **three** questions.

16. Briefly discuss about the treatment of packing charges in the context of assessable value for excise duty purposes.

17. What are the methods of valuation of customs duty?

18. Briefly explain the salient features of TNGST Act?

19. Differentiate between specific and Ad-Valorem duties.

20. Discuss the provisions relating to Registration of dealers under the CST Act.

AFC–7690

Sub. Code
1MCO2C2

M.Com. DEGREE EXAMINATION, NOVEMBER 2015

Second Semester

Commerce

INVESTMENT MANAGEMENT

(CBCS – 2011 onwards)

Time : 3 Hours Maximum : 75 Marks

Part A (10 × 2 = 20)

Answer **all** questions.

1. Define the term investment.

2. What are the characteristics of gamblers?

3. What do you mean by risk-aversion?

4. What do you mean by risk premium?

5. Differentiate between YTM and YTC.

6. What do you mean by callable bonds?

7. What do you mean by NAV?

8. What are the assumptions of CAPM?

9. What is options contract?

10. What is mean by underlying asset?

Part B $(5 \times 5 = 25)$

Answer **all** questions either (a) or (b).

11. (a) What is money market? How is it different from capital market?

Or

(b) Differentiate between investment and speculation. Can investor be speculator also?

12. (a) How the return of an investment can be measured? What are the elements of risk?

Or

(b) What are the features of equity stock?

13. (a) What are the factors involved in bond valuation? Explain with example.

Or

(b) A mutual fund has announced a new scheme in which the initial expenses are 5.5% and annual recurring expenses are 1.5%. Investors in the market have a minimum required rate of return of 16%. How much should the mutual fund earn annually in order to satisfy the investors expectation?

14. (a) What are the types of mutual fund schemes prevalent in India? Give details.

Or

(b) How does futures market differs from forward market?

15. (a) What are the characteristics of derivative investment and derivative market?

Or

(b) Share of XYZ Ltd. are presently trading at Rs. 67 (F.V. Rs. 10 each). 3 months call option for a strike price of Rs. 65 is available at a premium of Rs. 5. Find out the net payoff position of a call option holder if the spot price on maturity is Rs. 60, Rs. 62, Rs. 65, Rs. 67, Rs. 70, Rs. 72.

Part C $(3 \times 10 = 30)$

Answer any **three** questions.

16. What are components of a financial system? What are the functions of a sound financial system?

17. Mr. Ram has purchased share at Rs. 100 each five years ago. The market price at the end of the year and dividend during the year are given below. Find average rate of return and the risk of security.

Year :	1	2	3	4	5
Dividend :	5	6	6	4	3
Market price (Rs.) :	105	120	124	130	140

18. Explain the various types of charts used by technical analysts to predict future behaviour of prices.

19. "Mutual fund is an indirect investment". Examine it in the high on features of mutual funds.

20. What are features of future contracts? What are the factors determining price of future contract?